particular sector or to particular end use. As of now the RBI is not using this method for control of credit. It mostly uses the quantitative control method.

CC.2. 1. Regulation of Margin Requirements

Margin is the amount that has to be contributed by borrower towards the purpose for which she/he borrows. For example, if someone wants to buy a machine she/he cannot get the full amount as loan.She/he has to contribute a certain amount to purchase the machine.

By varying this amount, the offtake of loan can be controlled. If the margin is high the offtake of loan will be low and vice versa. Different margin is fixed for different sectors. If RBI wants to control flow of credit to a particular sector, it will fix a high margin and vice versa. This is primarily aimed to prevent excessive use of credit to purchase or carry securities by speculators.

CC.2. 2. Regulation of Consumer Credit

Consumer credit refers to credit to a consumer to purchase durable consumer goods on installments and hire purchase. Two devices are available under this method. They are i) Minimum down payment, ii) Period of repayment.

Minimum down payment refers to the amount initially to be paid by the purchaser. If this amount is fixed high, the purchase will come down and vice versa. So is the demand for credit. If the number of installment is reduced, the consumer has to pay more money per installment. This will discourage credit off take and vice versa. Therefore, higher minimum down payment and less number of installments reduce money supply and vice versa.

CC.2. 3. Rationing of Credit